Reconciliation Memo — US Payroll Parallel (October 2026)

Oct 19, 2026 · @Anamika Katiyar

To: Controller · **Re:** Workday vs Rippling, October 2026 US pay runs

We reconciled both October US pay runs (semi-monthly exempt and biweekly non-exempt) at three levels: who was paid, what each person was paid against Rippling, and whether the results reach the ledger and the bank intact. Every difference is explained by worker, and the full detail with amounts is in the app (Payroll parallel test, Pay runs & headcount, Controls & clean close).

How the reconciliation works

1. Headcount: active vs paid. For each pay run we start from every worker in the worker file and place each in one bucket: paid for the full period, paid prorated (new hire, termination, unpaid leave), active but not paid (unpaid leave for the whole period), or excluded (contractors, workers not employed in the period, other pay groups). The buckets must add back to the worker file, so every delta between active and paid has a named reason. Special instructions such as bonuses, retro, garnishments and payouts are tagged on top, so one person can be both paid in full and carry a bonus.

2. Legacy register: employee level, then pay component. We match Workday and Rippling by employee ID, compare gross, employer taxes, benefits and net, and drill into the pay components for any worker with a difference. A worker in one register but not the other is a variance in its own right. Each variance is placed in one of four classes:

Class	Meaning	What we do in a real parallel
Legacy error	Rippling is wrong (for example a missing California premium or overtime on the wrong rate)	Accept Workday; quantify any back-pay exposure for prior Rippling periods and decide on remediation
Configuration difference	The two systems are set up differently (a plan definition, a tax setup, a wage-base rule)	Decide which is correct against policy or law; fix Workday if needed and retest in the next parallel
Timing	Same answer, different period (a change entered after one system's cutoff, a retro paid next cycle)	No fix; confirm the reverse difference appears in the next parallel
Data	An input is missing or stale in one system (a leave, a rate change, a balance)	Correct at the source system; fix the conversion or feed so it does not recur

Each variance records the root cause and the disposition. Anything without an explanation is shown as "Unexplained" and blocks sign-off; if an input is changed and re-run, any new difference appears immediately rather than being hidden by an old note.

3. Ledger and bank. The Workday journal must balance; register gross must equal wage expense plus payouts relieved from the leave liability; register net must equal net pay payable and the bank file plus live checks. These ties confirm the reconciled results are the ones that would post and pay.

Pass criteria and recommendation

A period passes parallel when all of these hold:

- Headcount buckets add back to the worker file for both pay runs, with every active-but-unpaid or excluded worker explained.
- Every legacy variance outside tolerance ($1.00 per worker on net pay and on each pay component) has a class, a root cause and a disposition; none is unexplained.
- No configuration difference is unresolved against policy, and every legacy error has its exposure noted.
- The journal balances and the gross, net pay and bank ties hold.

Recommendation: this period passes parallel. Every variance is explained and dispositioned, headcount reconciles, and the ledger and bank ties hold. Three follow-ups carry into the next parallel:

1. Retest each configuration difference after the agreed fix, and confirm the Workday treatment with the policy owner (for example the 401(k) recordkeeper on the earnings definition).
2. Confirm that each timing difference reverses in the next period.
3. Size the back-pay exposure on legacy errors for prior Rippling periods, so Legal and Payroll can decide on remediation before go-live.

Passing one period is not exit: go-live requires two consecutive clean parallels, as set out in the design document.